Managing Brand Over Time

Week 9 Sustaining Brand Equity and Personal Branding

MKT3717 Product and Brand Management

Dr. Dayoung Kim

Repositioning

- Disruptive approach

Brand repositioning - contemporary

The New Luxury Paradigm

- Evolution of luxury industry over the last decade?

	Old Luxury		New Luxury
Symbol			
Customer engagement			
Consumption		vs.	
Shopping mindset			
Online channels?			

https://mpk732t22015.wordpress.com/2015/09/13/luxury-goods-pricing-considerations-approaches/

Q1.

Why are consumers willing to pay a significant premium to own luxury products?

What are the key drivers of luxury consumption?

Q2.

What are the characteristics of the luxury industry that make it distinct from other industry?

- Brand vs. Sales
  - Distribution channel
- Customer consumption
  - Old vs. new generation
  - Merchandise mix
  - Consumption as signaling
- Limiting supply
  - Scarcity vs. environmental consciousness

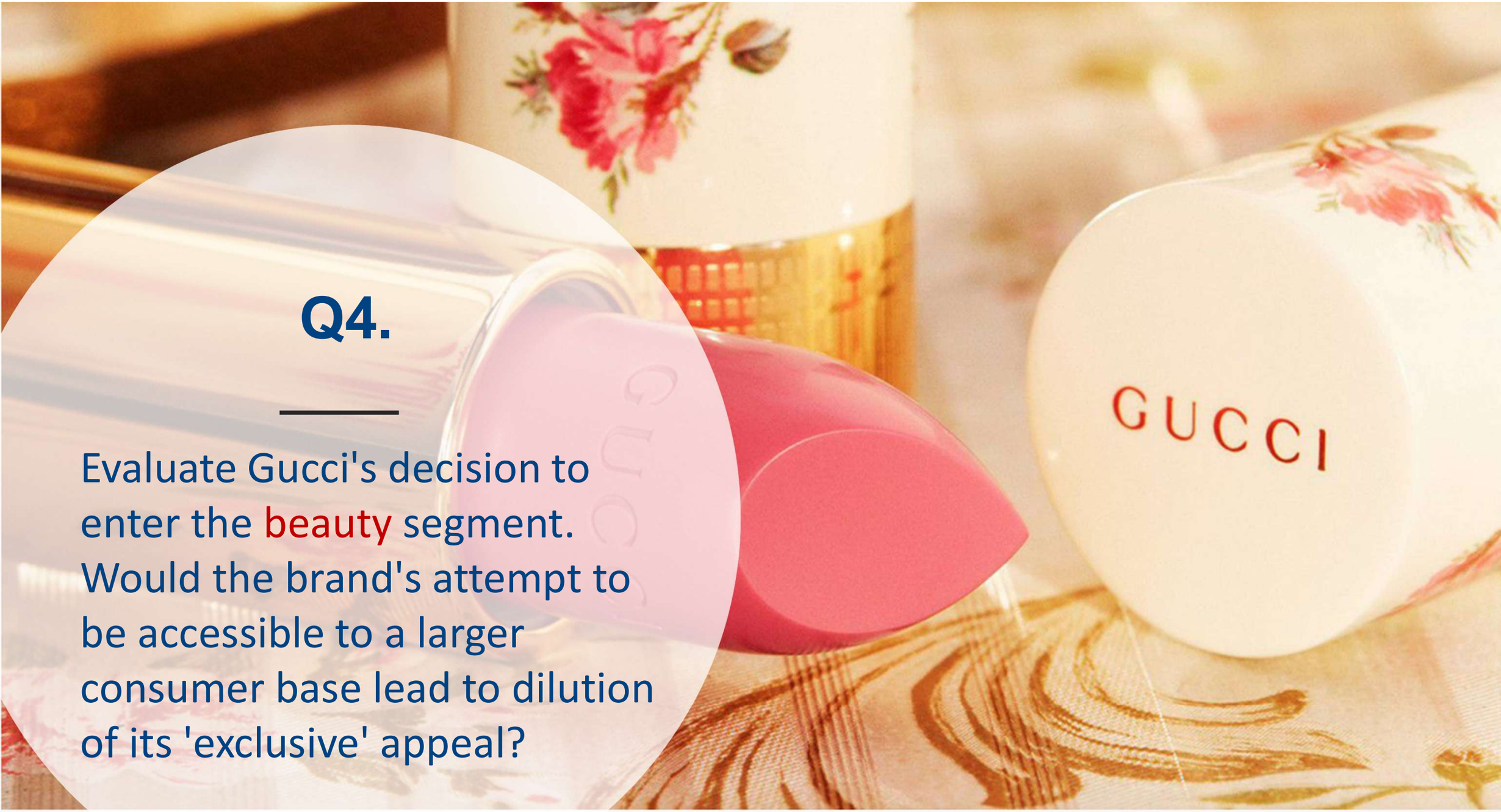
Q3.

How does the target segment and brand image of Gucci differ from its key competitors?

- LV, Chanel, Dior

Evaluate Gucci's brand repositioning strategy over the years.

- Ford, Giannini, Michele



Q4.

Evaluate Gucci's decision to enter the beauty segment. Would the brand's attempt to be accessible to a larger consumer base lead to dilution of its 'exclusive' appeal?

Kering taking Gucci's beauty business in house would be a blow to Coty, which handles the brand's fragrance, lipstick and more currently. (Gucci Beauty)

https://www.femalemag.com.sg/gallery/fashion/gucci-tiger-chinese-lunar-new-year-collection-2022

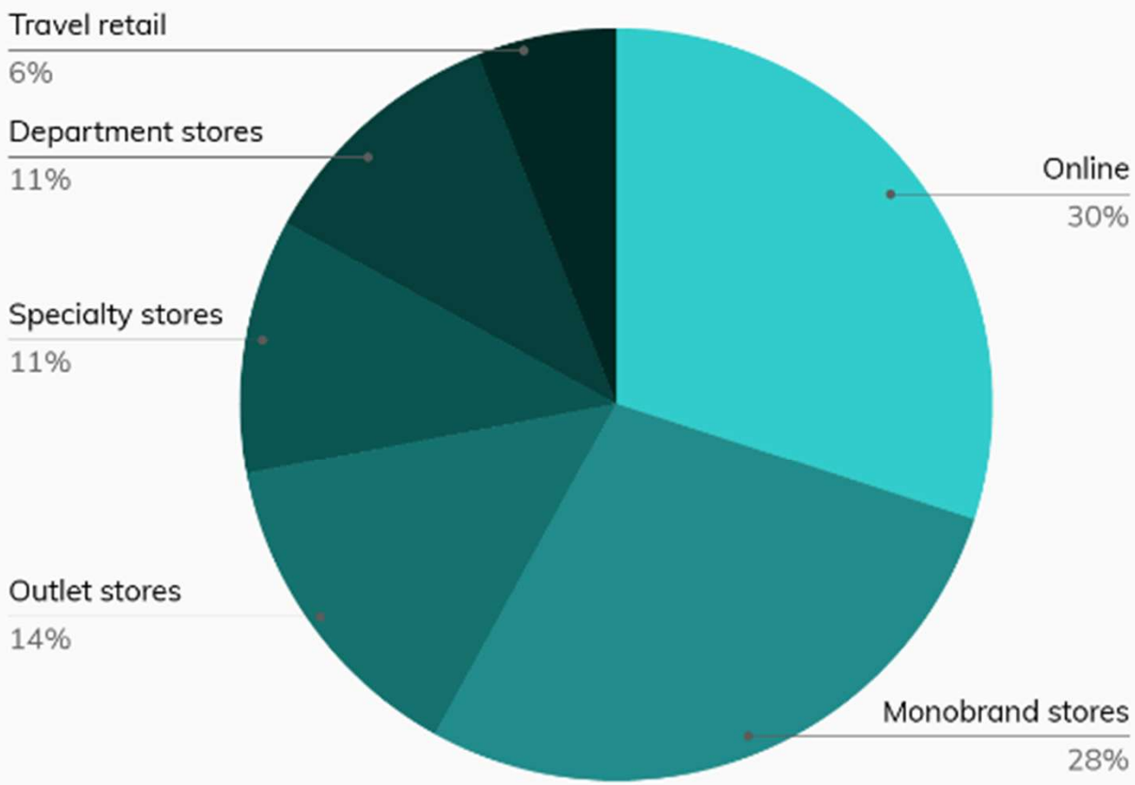
Q5. Chinese consumers have always been the dominant buyers of luxury brands like Gucci. Would the brand become even more dependent on China in the aftermath of Covid-19 pandemic?

What are the risks of being over-reliant on one nationality?

The New Luxury Paradigm

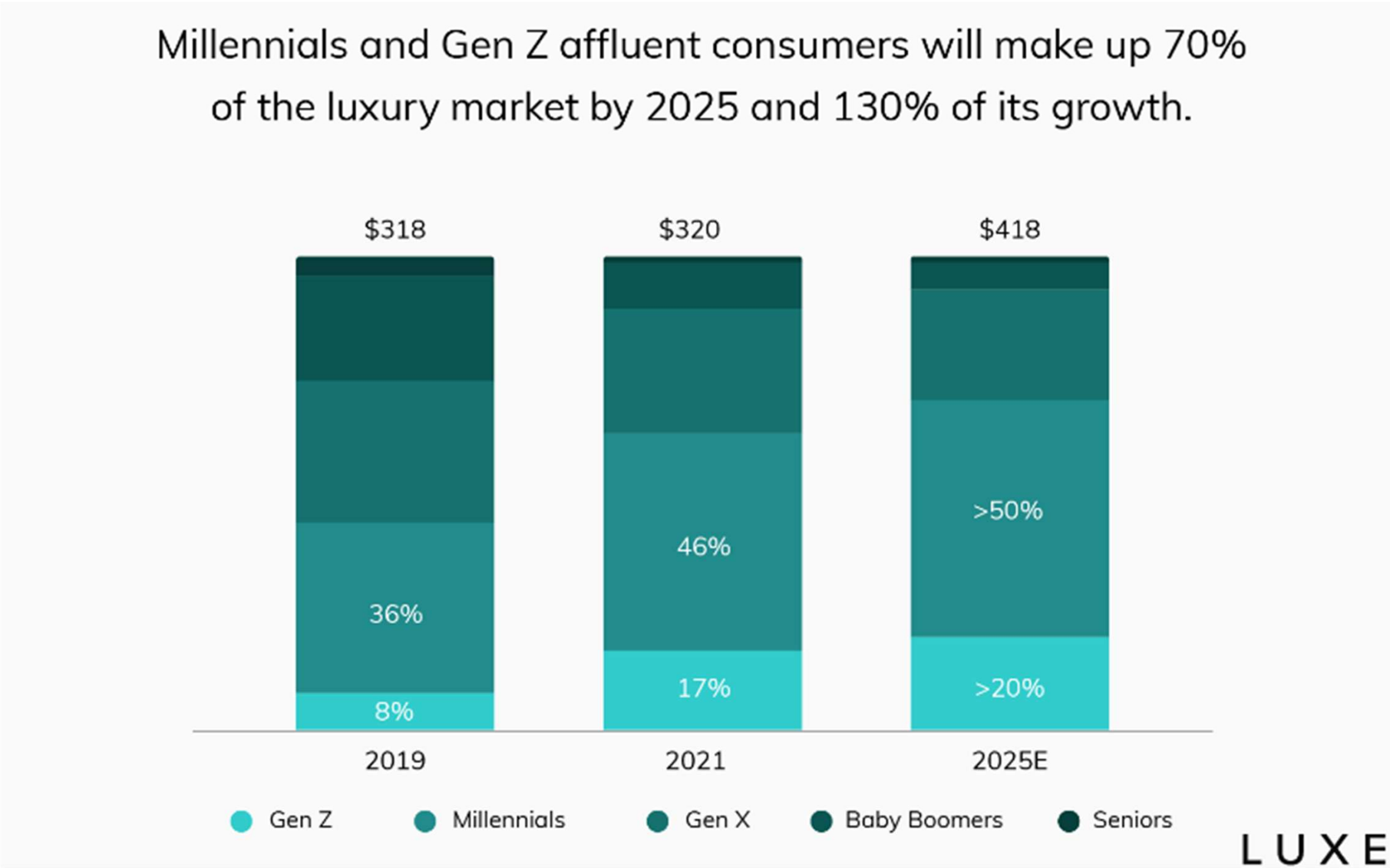
Digital Platform

The share of online sales for personal luxury goods will grow to 30% by 2025, driven by brands' own websites and new digital opportunities.

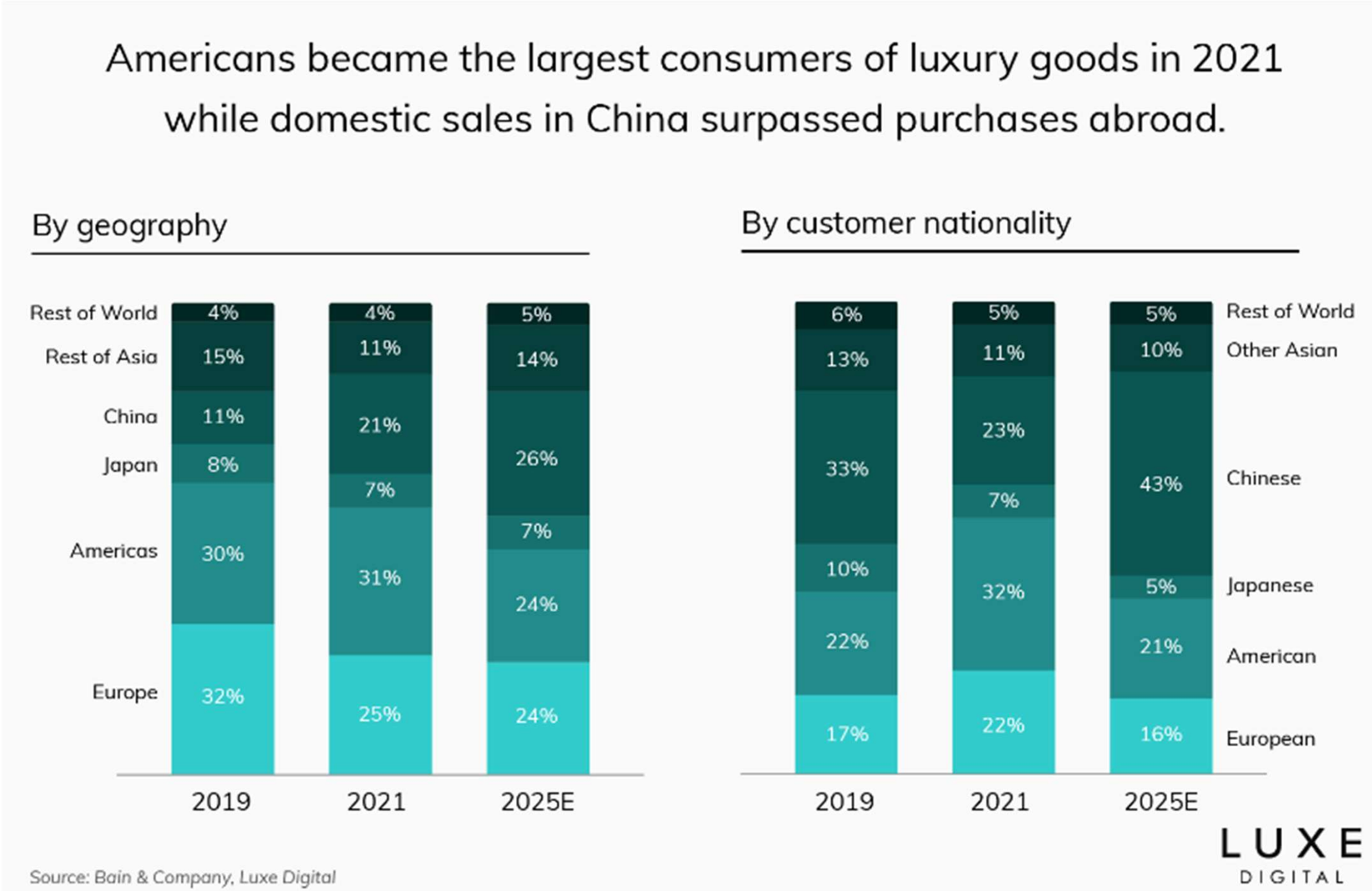


LUXE

Millennials and Gen Z



Global Market



New Direction

- Alessandro Michele Interview

- Gucci Palace
  - Recent collaboration with the London streetwear Palace Skateboards
- The exquisite Gucci campaign
  - Alessandro Michele's note on: "I've always been charmed by cinema. For its power to tell stories that can probe human adventure and its drift"

- Source:

https://www.bbc.com/news/articles/cjwz6yzn5jqo

BBC

Home News Sport Business Technology Health Culture Arts Travel Earth Audio Video Live

Gucci criticised for 'AI slop' images ahead of major fashion show

2 days ago

Share Save

Liv McMahon
Technology reporter

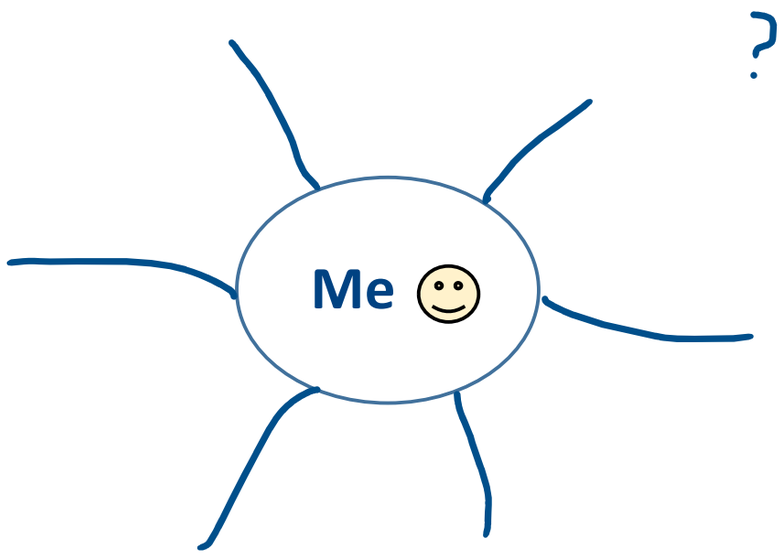
GUCCI / AI GENERATED IMAGES

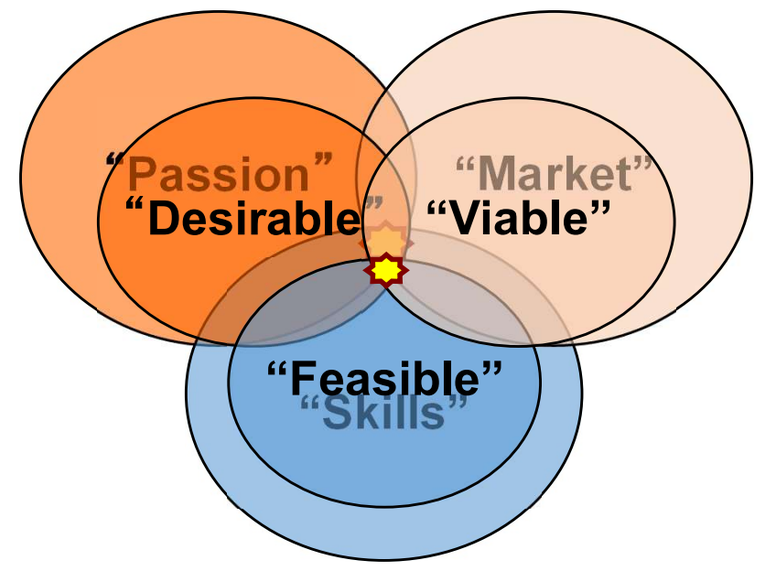
Gucci is facing a backlash after using AI to generate images to promote its forthcoming show at Milan Fashion Week.

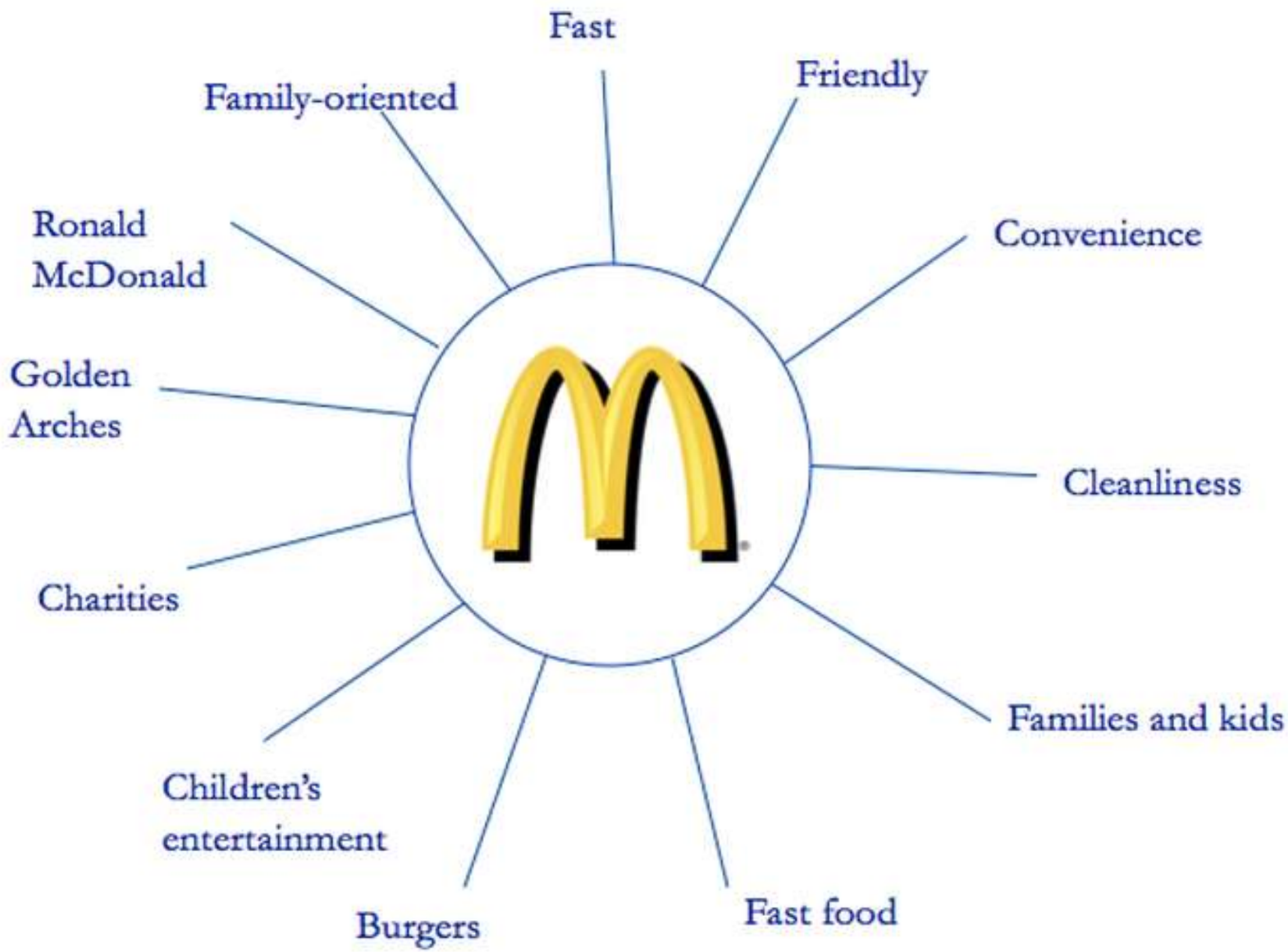
Personal Branding

Personal Branding

Know yourself and curate a good content to deliver your value!






Fast
Friendly
Convenience
Cleanliness
Families and kids
Fast food
Burgers
Children's entertainment
Charities
Golden Arches
Ronald McDonald
Family-oriented

Class Exercise on Personal Branding

- Self: Know yourself
  1. Set target audience
  2. Self- analysis
  3. Write down your (personal) brand mantra and mental map
  4. Choose points-of-difference
     - Desirability (passion, importance)
     - Deliverability (skills, ability)
     - Differentiation (long-term viability)
  5. Draft brand plans – write a few sentences on your positioning

Brand name	Emotional modifier	Descriptive modifier	Brand function

Classic Framework	Personal Branding Translation
People Desirable	Do people want what you stand for?
Business Viable	Will the market reward this positioning?
Technical Feasible	Can you actually deliver this consistently?

Class Exercise on Personal Branding

- Group feedback: brand positioning
  1. Draft mental maps for each other
  2. Share your brand mantra and brand plans to each other
     - Listeners: pretend to be the target audience and update the mental maps
  3. Discuss ways to integrate brand marketing activities
     - Be a good human

Personal Brand Building Exercise

- After this task:
  - Submit your output document (max 2 page) on CANVAS by April 2
  - Extra credit (1%) will be given only on carefully built personal branding plan
  - Include the brand-building blocks discussed in personal branding discussion:
    - Conduct 'self' analysis (e.g., personal SWOT)
    - Personal brand mantra
    - Define target audience (e.g., your future recruiter or business partner)
    - Feedback from people (e.g., mental map)
    - Plans to establish personal brand positioning with clear distinction of below on yourself
      - Desirability (passion, importance)
      - Deliverability (skills, ability)
      - Differentiation (long-term viability)
    - Integrate brand marketing activities (e.g., job posting, networking plans, etc.)